CA INTER MAY/SEP 26/JAN 27

INCOME TAX

SECTION 115BAC / AMT

ONE SHOT

Section 115BAC — Default Regime for Ind | HUF | AOP | BOI | AJP

Slab Rate — For Normal Income

Income	Slab		Tax rate
upto 4L	First 4L (B.E.L)		NIL
>4L – 8L	Next 4L		5%
>8L – 12L	Next 4L	First 24L = 3L TAX	10%
>12L – 16L	Next 4L		15%
>16L – 20L	Next 4L		20%
>20L – 24L	Next 4L		25%
>24L	balance		30%

Following Deductions & Exemptions are not allowed under default regime :-

1. U/H Salaries
   (a) HRA Exemption
   (b) Allowances Exemption Except :- Daily Allowance
       Travelling Allowance
       Conveyance Allowance
       Transport Allowance — Disable Ees

(c) LTC Exemption
(d) Lunch/meal Exemption (50/meal)
(e) Dedn. u/s 16
    - Entertainment Allowance Deduction.
    - Professional Tax Deduction.

2. U/H HP

- Int on Capital borrowed — $\boxed{\text{S.O. HP}}$ (2L/30K)
  → Default Regime = NIL

3. PGBP

- Additional Dep
- Contribution to o/s Agency for scientific Research
- Specified Business — S.35AD.

4. Other Source

Family Pension → OTR (Max 15000)
→ NTR (Max 25000)

5. Clubbing of Income

Exemption u/s 10(32) — 1500 per minor child

6. Set-off & C/F

HP head loss → Inter head Adjustment Not allowed.
→ Also Not allowed to C/F

In short → HP loss → Intra head
→ balance loss → lapsed.

7. Deductions

- 80C – 80U Not Allowed Except 80 CCD(2) / 80 CCH(2) / 80 JJAA
- Ded. u/s 10AA — Not allowed.

Alternate Minimum Tax (AMT) → Applicable for old Regime.

* Tax As per Normal provision (OTR)
or
* AMT = 18.5% × Adjusted Total Income

} → Higher = Tax liability

Note:- If ATI > 50L → Surcharge Applicable & AMT = 4% HEC Apply

* Adjusted Total Income

	Total Income (ie GTI - Ded.) As per Normal provision	—
(+)	Ded. u/s 10 AA	—
(+)	Ded. u/s 80 JJAA / QQB / RRB	—
(+)	Ded. u/s 35AD In respect of Cap. Exp	—
(-)	Dep on Cap. Exp Incurred for specified business	(-)
	ATI	—

Eg. T.I. of Mr. J = 25L As per Normal prov. of I.T. Act After claiming following Deductions

(a) Ded. u/s 10 AA = 10,00,000

(b) Ded u/s 80JJAA = 3,00,000

(c) Ded. u/s 35AD = 5,00,000 for mach. purch. for sp. business

Calculate Tax payable under Norm. prov. ie Assessee opt out from default Regime

Tax liability — Higher of following

(A) Tax As per Normal provision = 5,85,000

(B) AMT = 8,12,890

ie Tax liab. = 8,12,890

(A) Tax As per Norm. prov.

TI = 25L →	First 10L		1,12,500
	bal 15L	30%	4,50,000
			5,62,500
			+ 4%
	Tax liability →		5,85,000

(B) AMT = 18.5% of ATI ie 18.5% of 42,25,000 = 7,81,625

+ 4%

8,12,890

* ATI :-

	TI As per Norm. Prov.	25,00,000
(+)	10AA Ded	10,00,000
(+)	80 JJAA / QQB / RRB	3,00,000
(+)	35AD Ded. – Mach.	5,00,000
(–)	Mach. Dep 5L × 15%	(75,000)
	ATI	42,25,000

* AMT Credit

↳ Extra Tax Pay ie AMT − Tax As per Normal Prov.

↓

Tax Credit

↓

It can be Adjusted Against future Tax liability whenever Tax As per Normal provision Is higher than AMT

Adj allowed ie Credit Allowed to be adj — lower of :-

(a) Tax Credit

(b) Normal Tax − AMT of that year.

In Above Eq ⟶ Extra Tax = AMT − Normal Tax

= 8,12,890 − 5,85,000

= $\boxed{2,27,890}$ ⟶ Tax Credit

Suppose Next Yr.

Normal Tax = 7,50,000

AMT = 6,70,000

} — Higher ⟶ Tax liability 7,50,000

(−) AMT Tax Credit

L $\left\{\begin{array}{l} \bullet \text{ Credit Available} = 2,27,890 \\ \bullet \text{ Norm. Tax} - \text{AMT of year} \end{array}\right.$ 80,000

750000 − 6,70,000 = 80,000

Tax liability ⟶ 6,70,000

Bal. Credit Available = 2,27,890 − 80,000 = 1,47,890

Next yr $\left.\begin{array}{l} \text{NT} = 10,00,000 \\ \text{AMT} = 6,00,000 \end{array}\right\}$ ⟶ Higher is Tax liability 10,00,000

(−) AMT credit

L $\left\{\begin{array}{ll} \bullet \text{ Credit Available} & 147890 \\ \bullet \text{ NT} - \text{AMT} & 4,00,000 \end{array}\right.$ 147890

8,52,110

Credit Kab milega ⟶ NT > AMT

Credit Kitna milega ⟶ $\left.\begin{array}{l} \bullet \text{ Credit Avail} \\ \bullet \text{ NT} - \text{AMT} \end{array}\right\}$ lower.

AMT Credit ⟶ 15 yr C/F

Assessee

- **Company**
  - AMT — ✗
  - MAT — ✓
  - (Not In syllabus)
- Firm Including LLP
  - AMT Always Applicable
- Ind / HUF / AOP / BOI
  - ATI upto 20L
    - Yes ie ATI doesn't exceed 20L
      - $\boxed{\text{AMT — ✗}}$
      - Tax liab = Normal Tax
    - No ie ATI > 20L
      - $\boxed{\text{AMT ✓}}$
      - Tax liab:
        - N. Tax
        - AMT

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THANK YOU